Adelaide University

Business Management Systems

Standards and Regulations

Riaz Esmailzadeh

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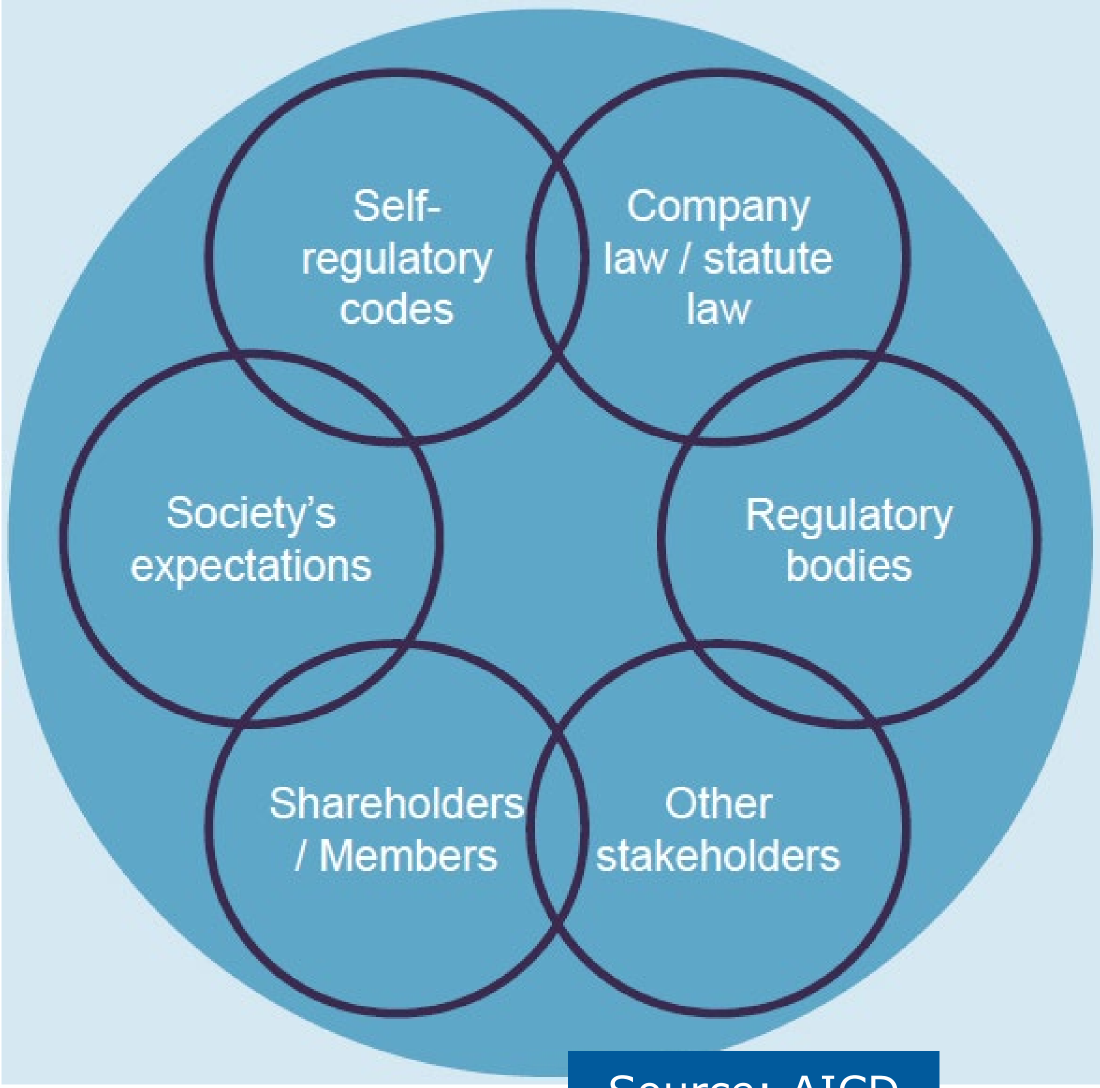
We respectfully acknowledge the Kaurna, Boandik, and Barngarla First Nations Peoples and their Elders past and present, who are the Traditional Owners of the lands that are home to our campuses across Adelaide and South Australia.

Outline

- Legal obligations
- Industry codes of behaviour
- International standards
- Informal standards

Governance Environment

- A director's board oversees the overall responsibilities of a company
- Responsibilities are usually drawn as an overlapping circles, indicating the operational environment:
  - Company Law, Statute Law
  - Regulatory Bodies
  - Self-Regulatory Code
  - Shareholders/members
  - Other Stakeholders
  - Society's Expectations



Source: AICD

Laws

- Laws and regulations at both the state and federal level create a framework within which organisations may operate
- They need to follow these
  - Work Health and Safety Act 2012
  - ASIC regulations (various)
  - The Privacy Act

Regulatory Bodies

- Different sectors and professions have their own regulatory bodies
- These develop standards and benchmarks for the profession and their products
- For example:
  - Engineers Australia accredits programs at universities and their graduates
  - AHPRA regulates health professionals (doctors, nurses, etc.)
  - Each Australian state has a legal regulatory body
  - ACMA regulates radio and TV, internet, and telecoms businesses

Self Regulatory Codes

- Many industries have a code of conduct, which while not legally binding, should be followed
  - Engineers Australia Code of Ethics
  - Advertising code (what may be advertised at what time)
  - Australian Food and Grocery Council (AFGC) Responsible Marketing Code
  - Betting industry’s code of conduct

Societal Expectation

- All businesses operate within a social structure with its own expectation of conduct
- Unethical behaviour by “organisations” is not received well
  - Nike’s sweatshops, etc.
  - Environmental, social and governance (ESG) principles are expected

International Standards

- International standards are usually difficult to create
  - We have the problem of Nation State vs International Institutions
- However, when systems need to work internationally, then the standards are developed one way or other…
  - International Telecommunications Union (ITU) an agency of the United Nation has managed to establish international standards since the 1950s
    - In fact, even before that – 1850 with the establishment of internation telegraph standards…

IEEE Standards

- Many of the telecom technologies we use have been developed under the umbrella of Institute of Electrical and Electronic Engineers (IEEE)
  - WiFi, Bluetooth, UWB, Ethernet, etc
    - Many of these were developed as proprietary technologies, but were then further developed collaboratively under IEEE

ISO Standards

- The International Organization for Standardization (ISO) is an independent, non-governmental, international standard development organization composed of representatives from the national standards organizations of member countries. [Wikipedia]
- Through its members, it brings together experts to share knowledge and develop voluntary, consensus-based, market-relevant International Standards that support innovation and provide solutions to global challenges. ISO has published more than 22 000* International Standards and related documents covering almost every industry, from technology to food safety, to agriculture and healthcare. (source [ISO])

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Why ISO Standards

- In absence of global governance, standards are needed to create a common baseline so organisations can work together
- These can be standards to ensure
  - Quality of products in supply chain
  - Proofs that supplies have minimum environmental compliance
  - Proofs that the supply chain partners have adequate information security protections
- <u>Compliance is voluntary</u> – however your business partners usually demand it

ISO 216

- What do you think ISO 216 is about?!
- Is there a law mandating it?
- Why do you think it has been adopted?

ISO 9000

- The ISO 9000 family is a set of five quality management systems (QMS) standards
- They help organizations ensure that they meet customer and other stakeholder needs within the statutory and regulatory requirements related to a product or service.
- Procuring organizations, can be sure of supplier quality by establishing basic requirements for a supplier to assure product quality (Wikipedia)
- Audit companies assess a supplier to ensure they comply with ISO 9000

ISO 14000

- ISO 14000 series relate to environmental management to help organizations
  - Minimize how their operations (processes, etc.) negatively affect the environment
  - Comply with applicable laws, regulations, and other environmentally oriented requirements; and
  - Continually improve in the above (Wikipedia)

- Again auditing companies exist to ensure compliance

ISO 27000

- ISO 27000 standard describes the purpose of an information security management systems (ISMS)
- It is a management system similar in concept to those recommended by other ISO standards such as ISO 9000 and ISO 14000,
- It is used to manage information security risks and controls within an organization.
- Again auditing companies exist to verify one complies with the standard.

General Data Protection Regulation

- GDPR is an example of a new trend in international regulation
- While it is supposedly a standard for European Union, it is designed to apply to all European Union citizens and residents regardless of where they reside
- The large fines associated with non-compliance (2-4% of global revenue, or €2-4 million) ensures all companies world-wide comply
  - Meta was fined €1.3 billion in 2023
  - Amazon was fined €746 million in 2021
- European Union has now (as of 1 August 2024) also regulated Artificial Intelligence technologies and products, with similarly large fines for lack of compliance

Informal Networks

- Informal networks of engineers and scientists have come together in recent decades to develop global ‘standards’
- Internet Engineering Task Force (IETF) is a body since 1986 which has developed the internet standards which we all use
  - It is a non-aligned, non-profit organisation
- Linux operating system has similarly grown through a network of volunteers who have furthered the work of Linus Torvalds.

Summary

- While companies cannot be ethical per se, there are boundaries outside of which they cannot operate
- Some laws are designed to ensure level-playing work inside Australia
- Industry codes of conduct regulate behaviour
- International inter-operations at times require formal standards
- At times, business partners use voluntary standards to ensure high quality
- European Union has become the new de-facto global regulatory body
- Other informal standards can also create networks where the global society can work together.

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Risk Management

Riaz Esmailzadeh

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Outline

- Definitions
- Analysis
- Representation

What Is Risk?

- Risk is the possibility of something bad happening.
- It involves uncertainty about the effects/implications of an activity with respect to something that we value (such as health, well-being, wealth, property or the environment).
- It often focuses on negative, undesirable consequences. (Wikipedia)
- In the context of your projects, you may think of all the ways your “5,5,25” may not be realised.

Risk Analysis

- Risk may be analysed with respect to:
  - Loss: if an event occurs (or don't occur) how much loss will we incur?
    - E.g. what if your competitor comes up with a new product
  - Likelihood: what is the probability (between 0 and 1) that the event occurs
    - E.g. what is the chance of a change of government?
  - Control: how much control do we have over the event? Can we minimise its likelihood of occurrence? Can we minimise the loss associate with the event?
    - E.g. how much control do we have over these events and losses?

Dealing with Risk

- We can avoid the risk by
  - Changing our circumstance so the risk will not apply to us, for example leaving the market for a particular good altogether
- We can transfer the risk by
  - Passing it to someone else (sell the business) or buy insurance
- We can assume the risk by
  - Accept it might happen, and rationalize and control possible loss if it occurs

Risk Identification

- Risks identification is a continuous process,
- Monitor different aspects of a business
  - Finance, operations, market, competition
- Create a risk register for your
  - Important assets
  - Important lines of business
  - Important projects, etc
- Seek external audit

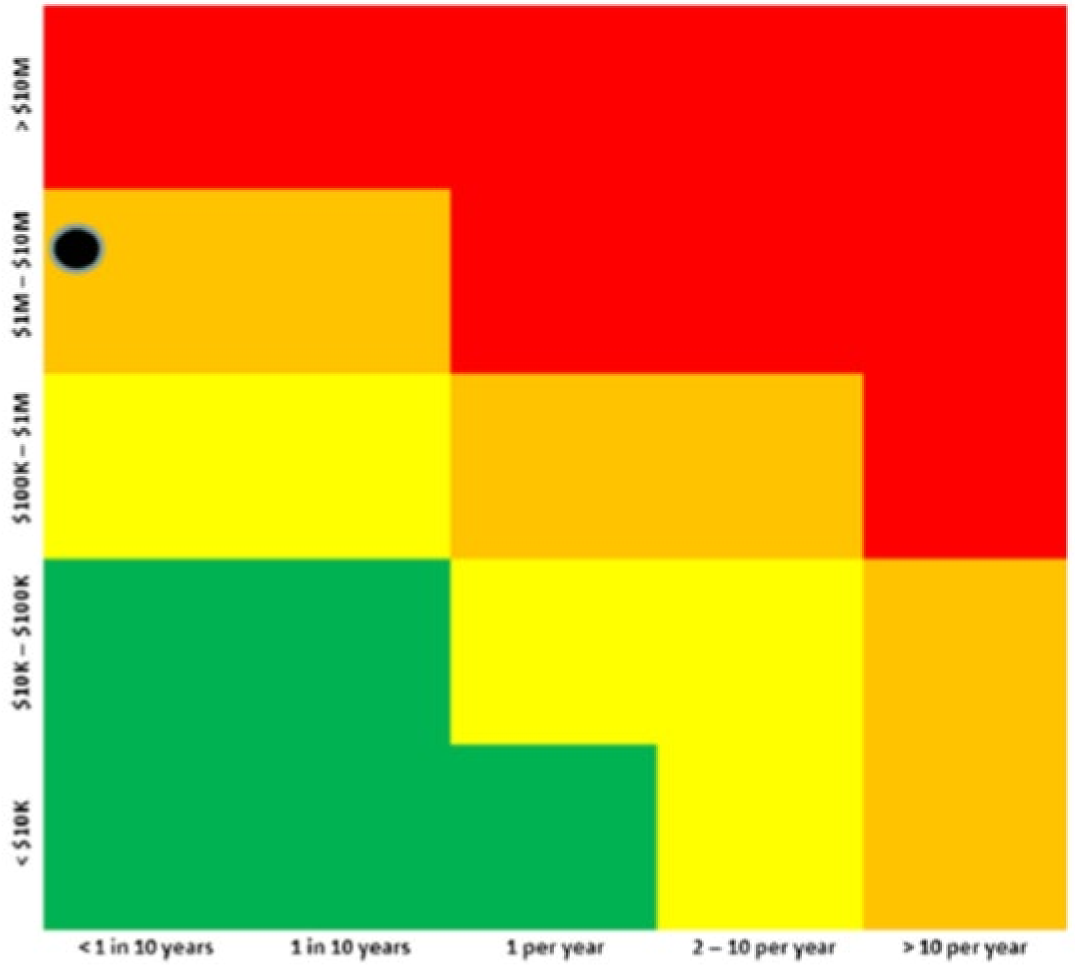
Risk Assessement

- Risks may be assessed based on the impact they could have on an organisation
  - Loss, probability and control
- This process can be qualitative or quantitative
  - Losses can be: minimal, substantial, etc; or $5,000, $10M, etc
  - Probability can be: unlikely, highly likely, etc; or 10%, 85%, etc.
  - Controls can be: no control, very effective, etc; or insured to the value of $10M
- In strategic projects, we need to be specific and quantitative as much as possible, this allows the management to monitor effectively.

Risk Matrix

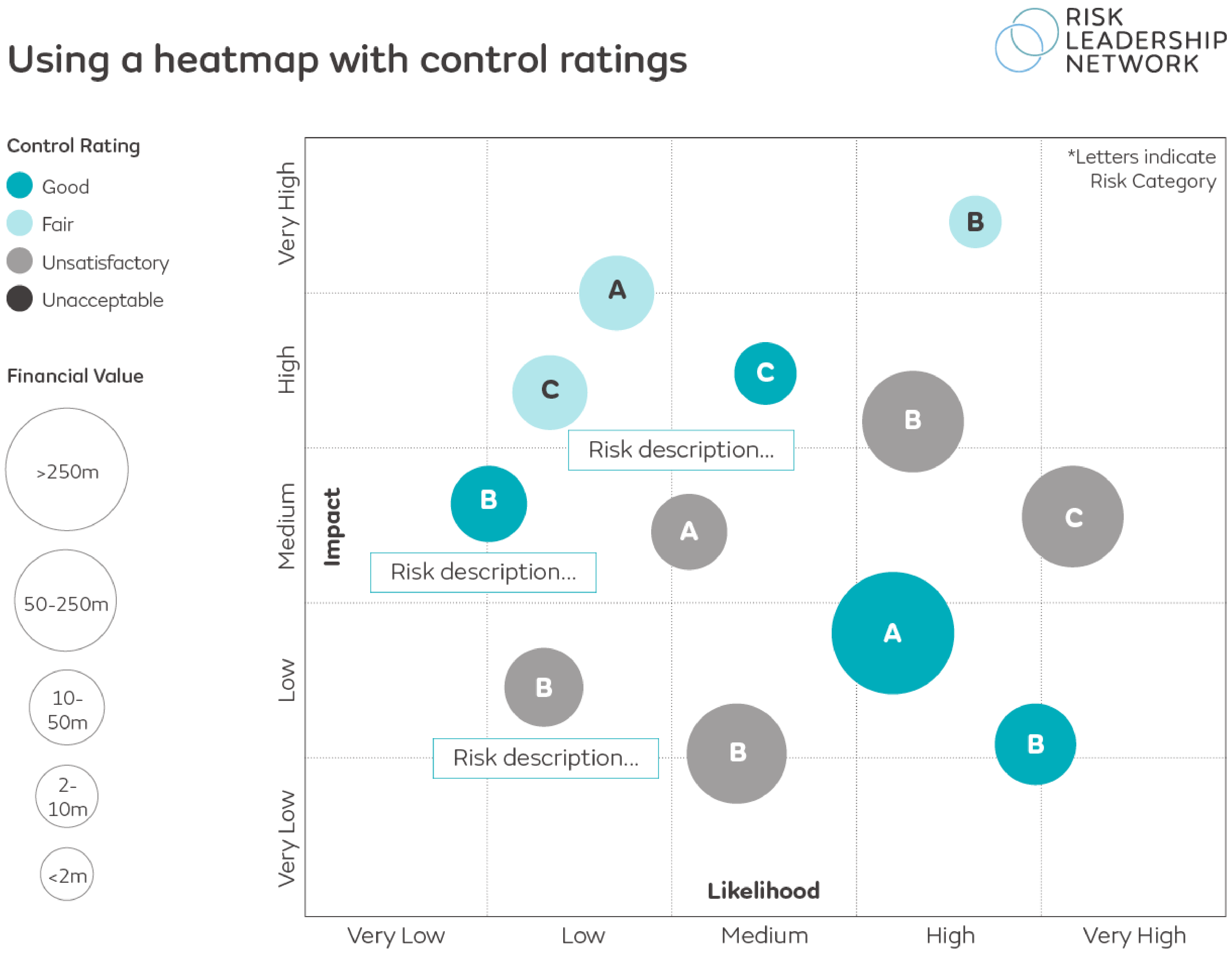
- Risk matrix is one method of visualising the risk an organisation faces
- It may be drawn in a qualitative or quantitative way, and mark individual risks

Risk Matrix		Severity				
		Insignificant	Minor	Moderate	Major	Severe
Likelihood	Almost Certain	Medium	High	Very High	Very High	Very High
	Likely	Medium	High	High	Very High	Very High
	Possible	Low	Medium	High	High	Very High
	Unlikelyh	Low	Low	Medium	Medium	High
	Rare	Low	Low	Low	Low	Medium



Heat Map

- A more complex way of illustrating and analysing risk is using a heat map
- Here the risks are mapped based on their likelihood, impact, risk category and degree of control



Source: Gambit Media

Summary

- Risks are a part of life
- In business we need to be
  - aware of risks,
  - understand their probability and impact and
  - find ways to deal with them

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Governance

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Outline

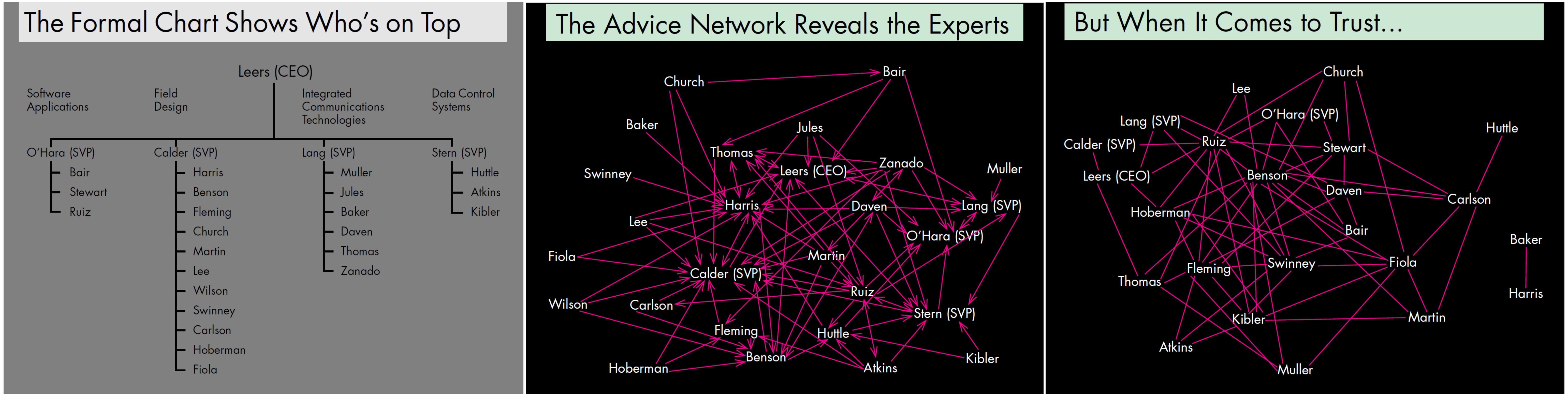
- Responsibilities
- Governance
- Board of Directors

Responsibilities

- Ultimately, we are all responsible for what we do
- If a company employee does something illegal, he/she is held accountable
  - Even going to prison
- However, from a societal point of view, the organisation must still be accountable
  - Who in company is held responsible?

Remember Organization Structures

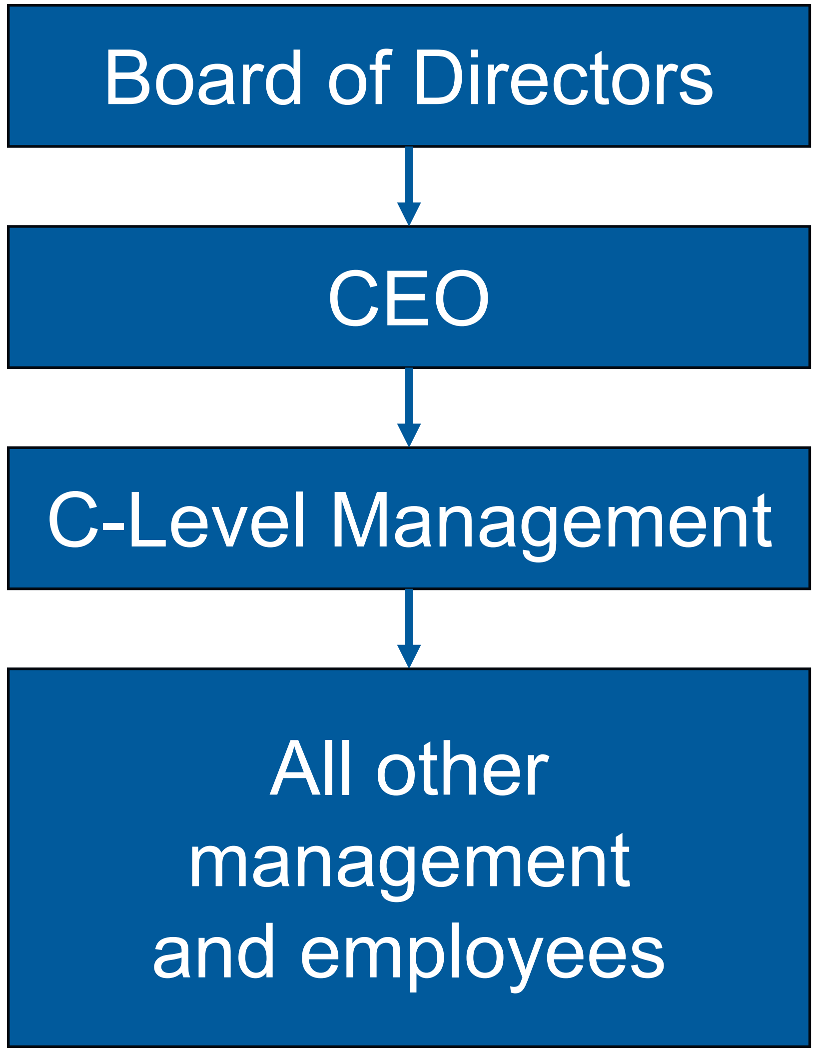
- Formal and informal (social) networks are present in an organizations.
- Through surveys one can establish advice and trust networks within the organizations



Source: Krackhardt and Hanson,1993

Company Governance

- (Final) organizational decision making must follow a hierarchical model
- This is because a company’s governance must follow legal and cultural rules, regulations and values.
- These are generally defined as a legal framework and apply to corporate and government organizations
- At the top level, usually sits a board of directors – usually after the existence of a group of shareholders



Governance Environment

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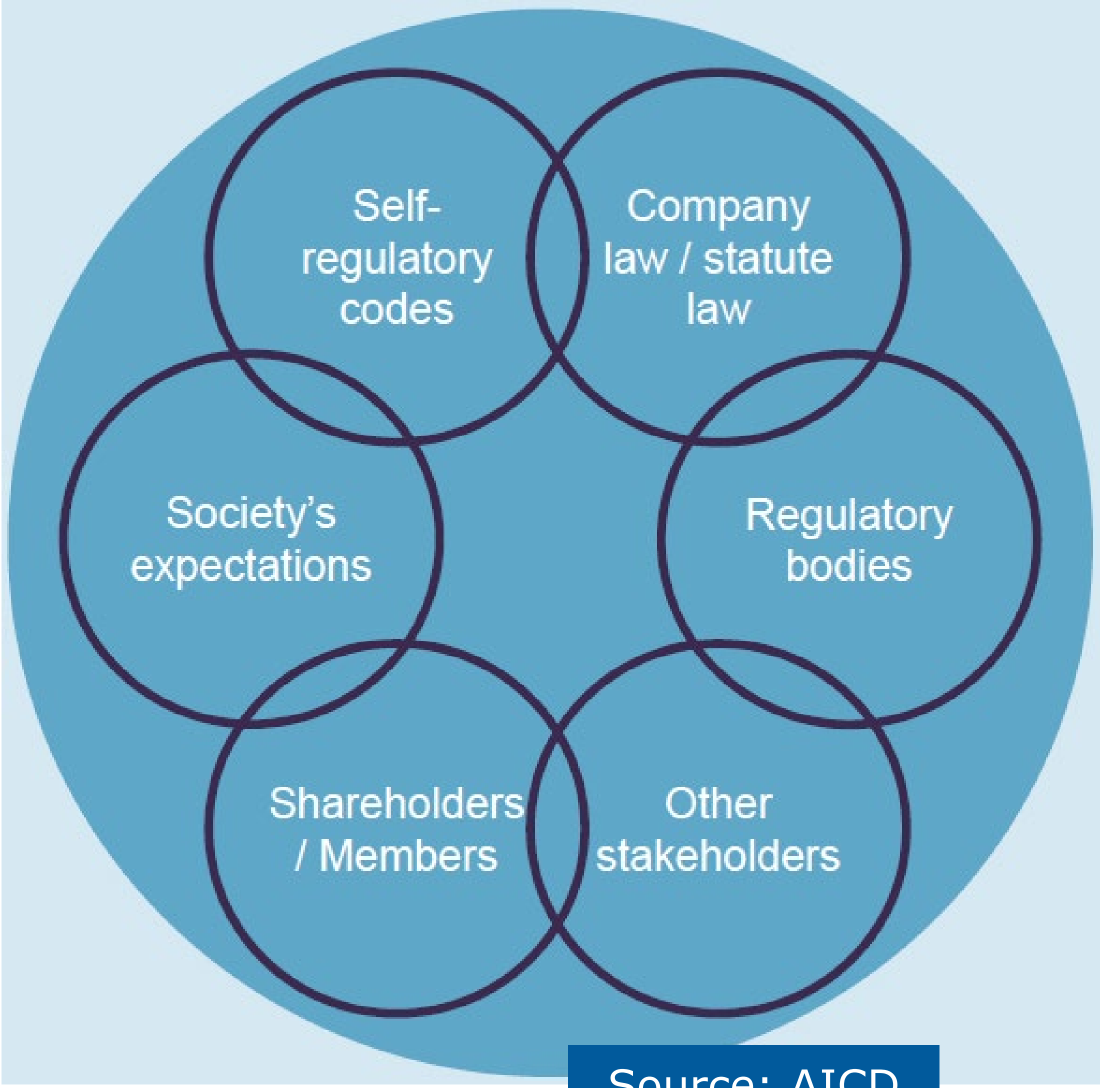

Source: AICD

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Why Boards?

- In general, the directors:
  - Make up the governance board which is charged with representing shareholders who are too numerous to manage effectively
  - Bring skills, independent perspective and judgement to improve decision-making of the board
  - Ensure the organization meets shareholder / owner expectations by promoting performance while managing risk
  - Are responsible to ensure legal and regulatory compliance
  - Guide, motivate and monitor management

Source: AICD

Role of the Board

- While the governance role may differ because of context and circumstances, the company directors are generally responsible for:
  - Ensuring enduring value (including setting risk appetite and ensuring that risk is managed appropriately)
  - Setting values and monitoring culture
  - Strategy formulation and policy making
  - Monitoring performance against shareholder expectations and strategic plan
  - Recruiting and overseeing the CEO
  - Compliance with legal (and ethical) rules and expectations

Source: AICD

Summary

- While organisations come to decision through many ways a society expects someone to take responsibility
  - Management and boards are ultimately responsible for how an organisation behaves
- Governments also expect companies to act legally
  - And financially prudently, especially when they are owned by more than one shareholder
  - Independent boards represent the interests of shareholders, and other stakeholders